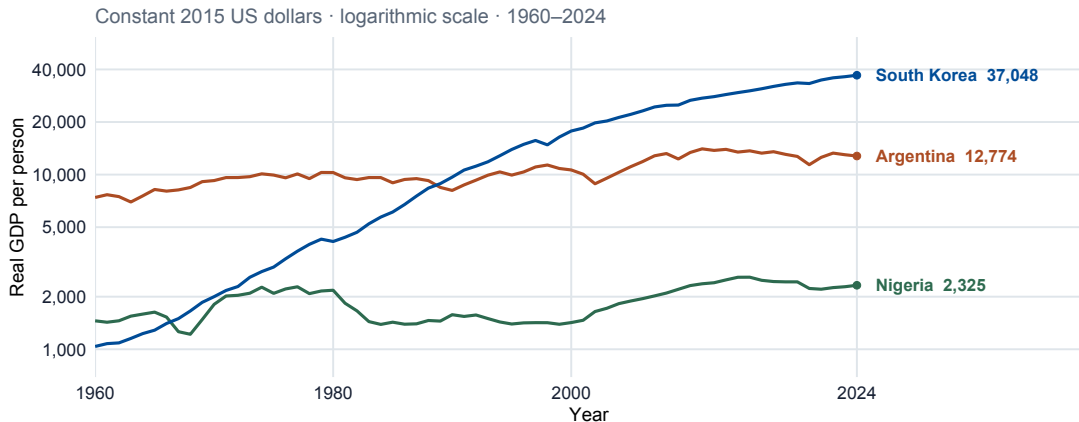


Growth Across Regions



Source: World Bank, WDI (July 2026 update), NY.GDP.PCAP.KD. Country examples, not regional averages.

East Asia: Sources of Rapid Growth

High saving and investment

More **physical capital per worker**: factories, equipment, and infrastructure.

Good basic education

More **human capital**: workers gain skills to use productive equipment.

Adoption of existing technology

Technological progress: use methods already developed elsewhere.

Catch-up and convergence: poorer economies can narrow income gaps by growing faster. **Low income alone does not guarantee this.**

Latin America: Disappointing Growth

Around 1900: abundant resources and relatively high incomes in parts of the region; Argentina attracted European immigrants.

- ▶ **Lower saving and investment than East Asia:** high inflation, bank failures, and disruptions eroded savings.
- ▶ **Too little emphasis on basic education:** resource wealth often did not translate into stronger schools.
- ▶ **Weaker technology adoption:** less growth from using methods developed elsewhere.
- ▶ **Political instability:** damaging policies held back growth; disappointing living standards fed further instability.

Africa: Obstacles and Uneven Progress

- ▶ **Corruption** weakens public investment and trust.
- ▶ **Civil wars and political instability** disrupt production.
- ▶ **Unfavorable geography** can raise transport and health costs.

Poverty and instability can reinforce each other: instability can deepen poverty, while poverty can fuel instability.

Nigeria: GDP per person rose after 2000, followed by later setbacks. Experiences differ across countries.

Source: Chapter 9 textbook; World Bank WDI, NY.GDP.PCAP.KD, 1960–2024.